

Tencent Holdings 0700.HK 700 HK

EQUITY: INTERNET & NEW MEDIA

1Q26 preview: an in-line quarter

Tencent has two pillars in AI foundation models; maintain Buy

1Q26 likely seeing the impact of the increase in AI investments

We expect a largely in-line quarter, though the operating profit (OP) growth would appear lackluster, at 9% y-y, vs. its recent quarters, backed by an 11% y-y growth in revenue. As guided by management earlier, Tencent has stepped up investment in AI since this year, which may cause a temporary pressure on its operating profit margin (OPM). We estimate the OPM to drop 0.5pp y-y to 38%, while the gross margin (GM) will likely manage to improve 1.3pp y-y due to a favorable shift in the revenue mix. We project the non-GAAP EPS to rise 14% y-y to CNY7.5, which is in line with the latest consensus.

On business segments, the online gaming revenue likely grew 12%, which is slightly below the Street's expectation of 13% y-y growth. The advertising revenue likely rose 21%, accelerating from 17.5% y-y in 4Q25 and was 2% above the Street's 18% growth. The Fintech and business service revenue likely rose 10% y-y which is in line with the market consensus.

Tencent has a fallback option in foundation models

We believe Tencent's proprietary foundation model, Hunyuan (HY), lags its Chinese competitors like ByteDance's (unlisted) Doubao and Alibaba's (BABA US, Buy) Qwen due to the underinvestment in the years prior to 2025. Since 2H25, Tencent has made a pivot in its AI strategy to more proactively invest in AI talent and infrastructure. The company reshuffled the team behind HY, which is now led by a newly-recruited leader from OpenAI (unlisted). Tencent has announced plans to release its next major upgrade – HY 3.0 – in April, which will be the first major upgrade following the recent restructuring. We expect the upcoming 3.0 version to deliver meaningful improvements over its current version. However, we believe it is unlikely that HY 3.0 will match the performance of state-of-the-art (SOTA) foundation models currently available, such as Qwen 3.6 Plus or GLM 5.1. We think Tencent's HY needs more time to break into the tier-1 category, as its competitors are also continuously working to improve their offerings. Tencent is one of the few internet platforms that has adopted an external LLM, DeepSeek, to power its flagship consumer-facing AI assistant, alongside its proprietary LLM, HY. Tencent's close partnership with DeepSeek offers an important fallback option should its proprietary HY LLM fail to reach the SOTA tier, in our view.

Maintain Buy and TP of HKD727, implying 41% upside

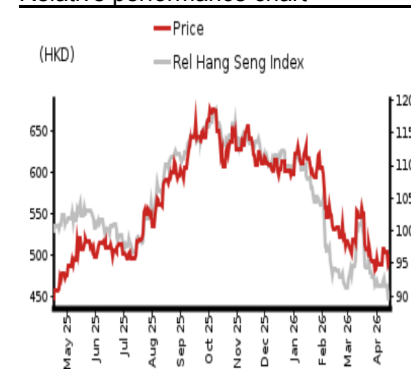
We maintain our Buy rating and SOTP-based TP of HKD727 (Fig. 3), implying 21x 2026F P/E. The stock is currently trading at 15.2x 2026F P/E. Tencent's ample cash position, including its USD100bn-worth investment portfolio coupled with the strong cash-generative gaming business, and the dominant WeChat ecosystem, should enable the company narrow the gap with its peers in the AI racing, in our view.

Year-end 31 Dec	FY25		FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New	
Revenue (mn)	751,766	829,230	829,230	897,584	897,584	967,560	967,560	
Reported net profit (mn)	224,842	235,589	235,589	254,096	254,096	274,440	274,440	
Normalised net profit (mn)	259,626	280,500	280,500	304,146	304,146	330,001	330,001	
FD normalised EPS	27.89	30.44	30.44	33.34	33.34	36.53	36.53	
FD norm. EPS growth (%)	18.6	9.1	9.1	9.5	9.5	9.6	9.6	
FD normalised P/E (x)	17.1	–	15.2	–	13.9	–	12.7	
EV/EBITDA (x)	15.8	–	13.9	–	12.2	–	10.8	
Price/book (x)	3.7	–	3.0	–	2.6	–	2.3	
Dividend yield (%)	1.0	–	1.1	–	1.2	–	1.3	
ROE (%)	21.1	18.6	18.6	17.1	17.1	16.1	16.1	
Net debt/equity (%)	9.7	net cash	net cash	net cash	net cash	net cash	net cash	

Source: Company data, Nomura estimates

Rating Remains	Buy
Target price Remains	HKD 727.00
Closing price 16 April 2026	HKD 517.00
Implied upside	+40.6%
Market Cap (USD mn)	602,522.8
ADT (USD mn)	1,961.2

Relative performance chart



Source: LSEG, Nomura

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Key data on Tencent Holdings

Performance

(%)	1M	3M	12M		
Absolute (HKD)	-7.4	-16.3	15.4	M cap (USDmn)	602,522.8
Absolute (USD)	-7.4	-16.6	14.3	Free float (%)	60.0
Rel to Hang Seng Index	-7.9	-12.9	-7.8	3-mth ADT (USDmn)	1,961.2

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	660,257	751,766	829,230	897,584	967,560
Cost of goods sold	-311,011	-329,173	-353,800	-375,536	-401,791
Gross profit	349,246	422,593	475,431	522,048	565,769
SG&A	-121,919	-143,143	-173,995	-195,518	-211,729
Employee share expense	-27,230	-34,711	-38,288	-41,444	-44,675
Operating profit	200,097	244,739	263,148	285,086	309,366
EBITDA	256,310	307,887	329,486	356,892	386,770
Depreciation	-27,332	-25,560	-24,877	-26,928	-29,027
Amortisation	-28,881	-37,588	-41,462	-44,879	-48,378
EBIT	200,097	244,739	263,148	285,086	309,366
Net interest expense	3,557	3,453	4,133	4,887	5,723
Associates & JCEs	25,176	23,740	18,674	18,829	18,829
Other income	8,468	-4,851	2,600	2,600	2,600
Earnings before tax	237,298	267,081	288,555	311,402	336,518
Income tax	-45,018	-47,448	-55,965	-60,306	-65,078
Net profit after tax	192,280	219,633	232,589	251,096	271,440
Minorities	-2,394	-4,959	-3,000	-3,000	-3,000
Other items	32,817	44,952	50,910	56,050	61,562
Preferred dividends					
Normalised NPAT	222,703	259,626	280,500	304,146	330,001
Extraordinary items	-28,630	-34,784	-44,910	-50,050	-55,562
Reported NPAT	194,073	224,842	235,589	254,096	274,440
Dividends	-37,907	-44,041	-47,157	-51,649	-56,606
Transfer to reserves	156,166	180,801	188,432	202,447	217,834

Valuations and ratios

Reported P/E (x)	23.3	19.7	18.2	16.7	15.3
Normalised P/E (x)	20.3	17.1	15.2	13.9	12.7
FD normalised P/E (x)	20.3	17.1	15.2	13.9	12.7
Dividend yield (%)	0.9	1.0	1.1	1.2	1.3
Price/cashflow (x)	17.5	14.6	13.3	11.1	11.8
Price/book (x)	4.6	3.7	3.0	2.6	2.3
EV/EBITDA (x)	19.0	15.8	13.9	12.2	10.8
EV/EBIT (x)	24.4	19.9	17.3	15.3	13.5
Gross margin (%)	52.9	56.2	57.3	58.2	58.5
EBITDA margin (%)	38.8	41.0	39.7	39.8	40.0
EBIT margin (%)	30.3	32.6	31.7	31.8	32.0
Net margin (%)	29.4	29.9	28.4	28.3	28.4
Effective tax rate (%)	19.0	17.8	19.4	19.4	19.3
Dividend payout (%)	19.5	19.6	20.0	20.3	20.6
ROE (%)	21.8	21.1	18.6	17.1	16.1
ROA (pretax %)	14.8	15.1	14.5	14.9	15.3

Growth (%)

Revenue	8.4	13.9	10.3	8.2	7.8
EBITDA	19.6	20.1	7.0	8.3	8.4
Normalised EPS	44.5	18.6	9.1	9.5	9.6
Normalised FDEPS	44.5	18.6	9.1	9.5	9.6

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	256,310	307,887	329,486	356,892	386,770
Change in working capital	22,863	-20,825	-16,489	54,574	-10,225
Other operating cashflow	-20,652	15,990	8,775	-31,003	-22,127
CF from operations	258,521	303,052	321,772	380,463	354,419
Capital expenditure	-62,927	-79,198	-91,215	-98,734	-106,432
Free cashflow	195,594	223,854	230,557	281,729	247,987
Reduction in investments	-6,994	-43,824	0	0	0
Net acquisitions					
Dec in other LT assets	-180,662	-79,119	-38,725	-39,796	-40,911
Inc in other LT liabilities	-17,721	158	21,834	24,848	28,298
Adjustments	146,117	-3,749	-24,068	-28,403	-33,188
CF after investing acts	136,334	97,320	189,598	238,598	202,187
Cash dividends	-31,244	-37,907	-44,041	-47,157	-51,649
Equity issue	1,932	0	0	0	0
Debt issue	-107	0	0	0	0
Convertible debt issue	0	0	0	0	0
Others	-146,716	-50,891	0	0	0
CF from financial acts	-176,135	-88,798	-44,041	-47,157	-51,649
Net cashflow	-39,801	8,522	145,557	191,220	150,538
Beginning cash	172,320	132,519	141,041	286,598	477,818
Ending cash	132,519	141,041	286,598	477,818	628,356
Ending net debt	76,123	112,156	-33,401	-224,621	-375,159

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	132,519	141,041	286,598	477,818	628,356
Marketable securities	192,977	236,801	236,801	236,801	236,801
Accounts receivable	48,203	49,930	54,576	58,544	63,395
Inventories	440	530	530	530	530
Other current assets	122,041	167,158	167,158	167,158	167,158
Total current assets	496,180	595,460	745,663	940,852	1,096,240
LT investments	0	0	0	0	0
Fixed assets	80,185	149,905	216,243	288,050	365,455
Goodwill					
Other intangible assets	196,127	205,999	193,561	180,097	165,583
Other LT assets	1,008,503	1,087,622	1,126,347	1,166,143	1,207,053
Total assets	1,780,995	2,038,986	2,281,813	2,575,142	2,834,331
Short-term debt	52,885	42,618	42,618	42,618	42,618
Accounts payable	118,712	121,127	92,122	134,228	107,947
Other current liabilities	225,312	249,006	266,168	282,604	303,511
Total current liabilities	396,909	412,751	400,908	459,450	454,076
Long-term debt	149,521	208,369	208,369	208,369	208,369
Convertible debt	6,236	2,210	2,210	2,210	2,210
Other LT liabilities	174,433	174,591	196,425	221,272	249,570
Total liabilities	727,099	797,921	807,912	891,302	914,225
Minority interest	80,348	86,913	89,913	92,913	95,913
Preferred stock					
Common stock	81,518	143,716	143,716	143,716	143,716
Retained earnings	854,123	966,395	1,193,115	1,395,562	1,623,871
Proposed dividends	37,907	44,041	47,157	51,649	56,606
Other equity and reserves					
Total shareholders' equity	973,548	1,154,152	1,383,988	1,590,927	1,824,193
Total equity & liabilities	1,780,995	2,038,986	2,281,813	2,575,142	2,834,331

Liquidity (x)

Current ratio	1.25	1.44	1.86	2.05	2.41
Interest cover	-	-	-	-	-

Leverage

Net debt/EBITDA (x)	0.30	0.36	net cash	net cash	net cash
Net debt/equity (%)	7.82	9.72	net cash	net cash	net cash

Per share

Reported EPS (CNY)	20.49	24.15	25.56	27.85	30.38
Norm EPS (CNY)	23.51	27.89	30.44	33.34	36.53
FD norm EPS (CNY)	23.51	27.89	30.44	33.34	36.53
BVPS (CNY)	105.03	127.04	152.34	175.12	200.79
DPS (CNY)	4.09	4.85	5.19	5.69	6.23

Activity (days)

Days receivable	26.2	23.8	23.0	23.0	23.1
Days inventory	0.5	0.5	0.5	0.5	0.5
Days payable	128.9	133.0	110.0	110.0	110.3
Cash cycle	-102.2	-108.6	-86.5	-86.5	-86.8

Source: Company data, Nomura estimates

Company profile

Tencent provides a wide range of services, including gaming (including PC games and mobile games), other value added services (e.g. video entertainment), online advertising, fintech and business services (including payment and cloud services). Tencent also operates WeChat, China's largest messaging app.

Valuation Methodology

We value Tencent's online gaming business at USD283bn (FY26F P/E of 18x), online advertising business at USD235bn (FY26F P/E of 20x), Fintech business at USD163bn (FY26F P/E of 15x), and Cloud business at USD39bn (FY26F P/S of 5x). We value investees at USD118bn. The resulting TP is HKD727. The benchmark for the stock is the Hang Seng Index.

Risks that may impede the achievement of the target price

Risks: High market expectations, aggressive spending on WeChat Pay and overseas marketing, and any potentially disruptive products and business models from competitors.

ESG

Tencent's business is environmental friendly as it does not cause pollution or generate greenhouse gas. Its social ecosystem is creating massive business opportunities for content creators and merchants. Tencent maintains good corporate governance practices, including easy access for investors and proper disclosures.

Fig. 1: Tencent – 1Q26F results preview

1Q26F results preview							
CNYmn	1Q26F	4Q25	1Q25	YoY	QoQ	Cons.	vs. Cons.
Revenues	199,534	194,371	180,022	11%	3%	199,334	0.1%
Gross profit	113,922	108,289	100,493	13%	5%	112,719	1.1%
Gross margin	57.1%	55.7%	55.8%	1.3ppt	1.4ppt	56.5%	0.5ppt
Non-IFRS op	75,861	69,518	69,320	9%	9%	74,935	1.2%
Non-IFRS op margin	38.0%	35.8%	38.5%	-0.5ppt	2.3ppt	37.6%	0.4ppt
Non-IFRS net profit	69,219	64,694	61,329	13%	7%	67,872	2.0%
Non-IFRS net margin	34.7%	33.3%	34.1%	0.6ppt	1.4ppt	34.0%	0.6ppt
Non-IFRS EPS (CNY)	7.50	6.97	6.58	14%	8%	7.53	-0.5%

Source: Company data, Bloomberg Finance L.P., Nomura estimates

Fig. 2: Tencent – revenue mix

Revenue mix						
CNYmn	1Q26F	4Q25	1Q25	YoY	QoQ	% of total rev.
Value Added Service (VAS)	99,728	89,920	92,133	8%	11%	50%
Online gaming business	66,343	59,300	59,500	12%	12%	33%
Incl. domestic online gaming	46,755	38,200	42,900	9%	22%	23%
overseas online gaming	19,588	21,100	16,600	18%	-7%	10%
Marketing Services	38,542	41,116	31,853	21%	-6%	19%
FinTech and Business Services	60,123	60,818	54,907	10%	-1%	30%
Others	1,140	2,517	1,129	1%	-55%	1%
Total revenue	199,534	194,371	180,022	11%	3%	100%

Source: Company data, Nomura estimates

Fig. 3: Tencent – SOTP valuation

USD mn unless otherwise stated	Market cap	Stake	Attributable valuation	Note
Core business				
Online gaming	283,031	100%	283,031	18x FY26F P/E
Ads	234,608	100%	234,608	20x FY26F P/E to capture Tencent's potential in search and short video ads (25x FY26F P/E previously)
Fintech	163,099	100%	163,099	15x FY26F P/E
Tencent Cloud	39,438	100%	39,438	5x FY26F P/S
Total			720,176	
Gross value from investees			148,000	
Holding discount			20%	
Attributable value from investees			118,400	
Total EV			838,576	
Net Cash			15,306	
Target market cap			853,883	
Share counts			9,216	
Target price (HKD)			727	

Source: Company data, Bloomberg Finance L.P., Nomura estimates

Appendix A-1

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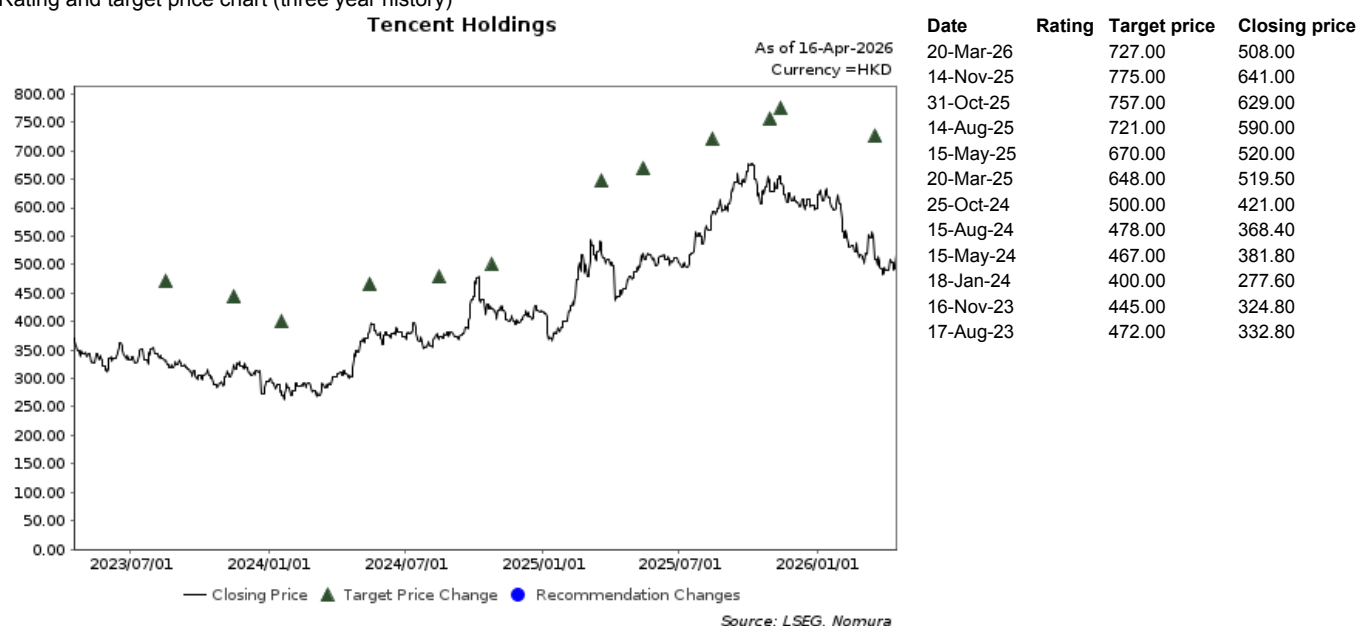
Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Tencent Holdings	700 HK	HKD 517.00	16-Apr-2026	Buy	N/A	A10

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Tencent Holdings (700 HK)

HKD 517.00 (16-Apr-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

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Risks that may impede the achievement of the target price Risks: High market expectations, aggressive spending on WeChat Pay and overseas marketing, and any potentially disruptive products and business models from competitors.

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As at 31 March 2026.

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